

Whoa, that was a lot of types!!

Here is a summarized version in the table below with a quick overview of each type and what's good about them.

Metric	Debt/Liquid	Equity	Hybrid
Objective	Preserving time value of money.	Generating Long-term wealth.	Generating Long-term wealth with lower risk.
Risk	Depends on credit rating.	High	Moderate
Tax benefit	No	Yes - Long term capital gains exempt till 1 lakh - Taxed at capital gain rate which might be lower than income tax slab.	Depends on type of hybrid fund. If equity is more than 65% then taxed as equity fund and otherwise as Debt fund.
Low cost/passive availability	Available but options are very few.	Easily available.	Non-existent.
Short term suitability	Yes (only for liquid funds)	No	No
Diversification within asset classes	No	No	Yes

Now let's learn a little bit more about mutual funds by going through the common terminologies! This will help you understand the next segment.